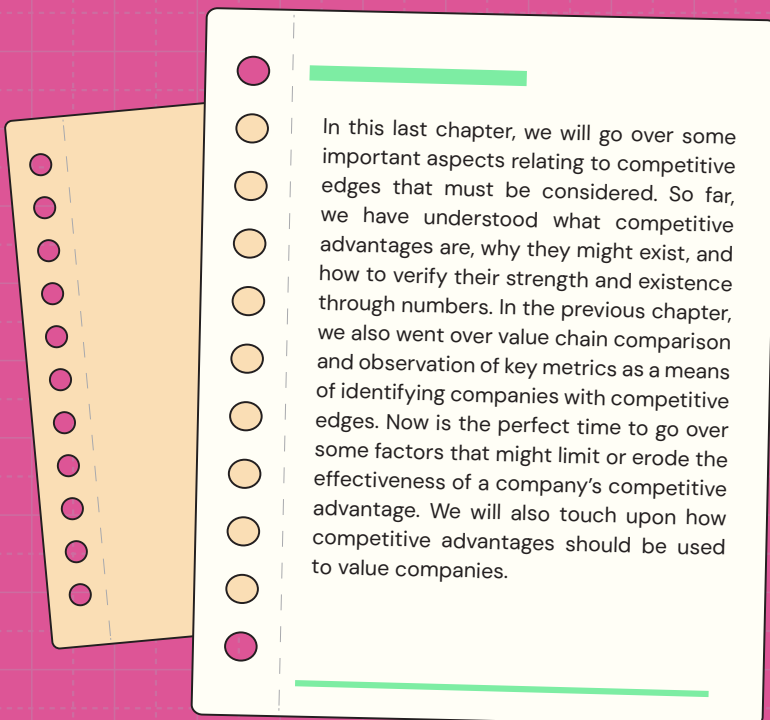


7. Investigate further to understand the reasons behind competitive edges and assess their strength
8. Combine qualitative and quantitative analysis by examining both the story and the numbers' sides.

CHAPTER- 8

THINGS TO KEEP IN MIND WHEN ANALYSING COMPETITIVE EDGES



In this last chapter, we will go over some important aspects relating to competitive edges that must be considered. So far, we have understood what competitive advantages are, why they might exist, and how to verify their strength and existence through numbers. In the previous chapter, we also went over value chain comparison and observation of key metrics as a means of identifying companies with competitive edges. Now is the perfect time to go over some factors that might limit or erode the effectiveness of a company's competitive advantage. We will also touch upon how competitive advantages should be used to value companies.